EF301 - Industrial Economics

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1. *Discuss the extent to which the Monopolistic Competition model of market structure challenges the Perfect Competition model in terms of rationale, model features, and predicted market outcomes.*

Introduction

Monopolistic competition (MC) and perfect competition (PC) both have their own unique assumptions and perceptions of market structure. MC represents the idea that firms compete with rivals but also have a degree of power over their own products. Whereas PC assumes that there are many identical firms that sell identical products. The extent of which the MC model challenges the PC model can be fully understood once rationale, model features and predicted market outcomes of each competition model are more closely examined.

Rationale

The rationales of the MC model and the PC models bring forward some similar concepts, but in essence they show that small changes in market structure can lead to immense differences. These changes can be seen in the area of product differentiation, market accessibility, and pricing strategies.

According to Tsoulfidis (2009), MC allows for slight variation in products by companies, and for branding, quality differences and slight product differentiation compared to competitors. The assumption is made that there is a large number of small firms that meet different types of needs, which in turn creates differentiation and the concept of niche markets (Kokovin et al., 2024). These niche markets allow for firms to prioritise consumer preferences and in turn, gain some market control through the improvement of quality, branding, and advertisements. Whereas, in PC the assumption that only homogenous products are offered, meaning that there is no variation, and all products are identical.

Both competition models hold similar values of ease of entry or exit of the market, allowing for new firms to enter or exit with minimal barriers and costs. However, the MC model assumes that a firm must invest in research, trademarks, and advertising (Dean et al., 2020). This could be understood as a financial barrier to entry, due to the requirement of sufficient capital to establish a brand identity. On the other hand, the aspect of all products being homogenous in the PC model allows for firms here to disregard the ideas of advertisement, research, and development of products, allowing for no barriers to entry or exit in this model.

The MC model indicates that firms face a downward sloping demand curve that limits levels of production (Tsoulfidis, 2009). This means that if price is increased then demand is decreased, and vice-versa. The slight differentiation in products allows for a non-price competition effect, so firms are encouraged to be increasingly innovative to fulfil more consumer needs. Conversely, in PC firms are considered “price takers”, indicated by a horizontal demand curve (Shobande et al., 2020). This means that firms have no control over their products’ price, and that market price indicates what price the products are to be sold at. The idea that firms do not change their price as there is no demand for the product at any other price, stems from the assumption that there are many small firms operating that have similar market shares so, no firm has the ability to influence the price of a product (Carbonnier, 2023).

Model Features

To fully understand what these differences depicted before, a more precise insight into the model features must be gained by expanding the concepts of product differentiation, market accessibility and pricing strategies, and developing an idea of what features can be found and how they are formed in the MC and PC models.

The existence of competition in the MC model is evident when considering non-pricing competition, as firms take more care in developing their public image. In this model firms realise that an advantage can be gained on competitors by utilising their resources not only for production but also for advertisements, packaging, sponsoring, and innovation (Kokovin et al., 2024). Without any indicators of difference between competitors, consumers may only choose what is cheapest (Uschev and Zenou, 2018). The concept of brand identity allows firms to differentiate themselves from others, and gain a larger market share through brand loyalty, familiarity, and quality assurance.

This concept of brand identity invokes the idea that brands can in turn have greater prices in relation to their competitors. Consumers may feel more comfortable buying a brand that they are familiar with and have used in the past, even if the price is higher. This idea can be shown through the downward sloping demand curve that was previously mentioned, it indicates that when prices rise some consumers will be retained. By a study conducted by Uschev and Zenou (2018) it was found that although the previous is true, there is a strong correlation between lower prices and more competition.

As we know, there are very little barriers to entry or exit in the MC model and it assumes that new competitors are constantly entering the market evident. This instigates the idea that firms cannot increase price extortionately, as there are always new competitors fighting to gain market share by advertising, developing new packaging and strategically having lower prices than market leaders (Tsoulfidis, 2009).

The PC model takes a different approach, as it ensures that all products are considered even on all aspects. While both models convey the effect of constant new competition through minimal barriers of entry or exit, the PC model introduces that while profits can be made firms will continue to enter the market. This theory indicates that when supply increases the price will decrease until firms are making losses, and this causes firms to exit the market and decrease the supply. This decrease in supply due to less firms in the market then increases the price and allows firms to make a profit, but then the cycle repeats itself. This indicates that the price taking approach leads to losses when there is a larger supply and profits when there is less supply. The optimal price is known as the equilibrium, where marginal costs are equal to marginal revenue, and it leads to firms receiving zero economic profits in the long run (Shobande et al., 2020).

Predicted Market Outcomes

Following the overviews of the MC and PC models an in-depth analysis of predicted market outcomes can be developed through the consideration of consumers, the firms, competitors, and market dynamics.

The effect on consumers is evident in the choices and prices of products. In a MC consumers can avail of a large choice of similar products, that vary in price and quality. They can be influenced by price, product packaging, advertisements, product features and brand identity (Kokovin et al., 2024). Whereas in a PC consumers would only have one choice at one price that varies through time. The reduction in choice means that consumers save time when shopping, but do not have the ability to choose between certain price points. Demand for a product may only be there if the price is low.

Due to the minimal barriers of entry a firms' presence in a MC model may become unstable due to constant pressure from competitors, but if a firm can gain a sufficient amount of market share through longevity it is possible for the product to become a consumer favourite (Uschev and Zenou, 2018). The PC model can be seen as unstable, unsustainable, and inefficient due to the constant changes in supply and demand. In the long run firms cannot remain profitable due to cycle between high and low supply and the levelling out of the market at an equilibrium (Shobande et al.,2020).

In the real world, the MC model can be seen in the relationship between brands of the clothing market. The market for clothing is large and contains a large variability between brands, prices, quality, and colours. Trends are a common theme in the

clothing industry, where supply and demand constantly shift between different categories. Viljoen (2007) states that the category of vintage clothes has become largely popular, and the supply is limited due to the fact that old, used clothed can't be produced which has drastically increased the prices of vintage clothes. This has led to many brands making the adaption to produce vintage-styled clothes and being able to offer them at a lower price.

The PC model is not a common one, but comparisons between this model and an agricultural sector from the past, like wheat and dairy, can be seen. According to Bergquist and Dinerstein (2020), processing companies purchase such products from multiple farmers for the same price, this price does vary due to supply and demand. Shortages in the supply of wheat and dairy would drastically increase the price, but the markets of such produce is usually kept at a constant equilibrium.

Conclusion

In conclusion, the MC and PC models convey vastly different rationales, features, and predicted outcomes. Where PC assumes homogeneity and price taking behaviour, MC challenges it by allowing differentiation and non-price competition. The importance of choice, innovation and overall stability is highlighted by the MC model, as we seen in the example of vintage clothes in the clothing industry. The PC model has been identified as largely hypothetical, with some valid aspects.

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2. *Assess how EU competition law would apply to the following scenario: the six largest firms in a given product market hold a meeting in which they exchange confidential information. While they do not explicitly discuss price arrangements, the six firms subsequently increase their prices simultaneously. The six firms also attempt to prevent distributors purchasing for resale the same product at a lower price in a neighbouring EU member state.*

Introduction

In this essay I will assess the scenario that, the six largest firms in a given product market hold a meeting in which they exchange confidential information. These six firms subsequently increase their prices simultaneously and, attempt to prevent distributors purchasing the same product at a lower price in a neighbouring EU member state.

Here we see three scenario aspects that may be of interest regarding EU competition law. Of which are, the exchange of confidential information, the simultaneous increase in prices and, the prevention of distributors purchasing the product at a lower price.

EU Competition Law

As stated by Szczepański (2014), the aim of EU Competition Law is to ensure the stability of the market by ensuring that enterprises from all EU Member States have the ability to compete equally. EU Competition Law covers the areas of antitrust, cartels, mergers, state aid, the liberalisation of markets and international cooperation. Cases from breaking this law can be taken to the General Court.

For this scenario the policies regarding antitrust and cartels are most relevant, due to the prohibition of agreements between two or more market operators that restrict competition. Possible infringement by the companies that took part in this meeting include the creation of a cartel between competitors, the fixation of prices and limitation of production. It is a very serious offense to breach EU competition law, as seen by Google, who was fined €2.4 billion as an anti-trust fine (France 24, 2021).

Following careful investigation of the overview of Competition policy provided by Scheinert (2023), I believe that the following laws may be relevant for this case:

Article 101 TFEU – Comprehensive ban on anti-competitive agreements

Article 102 TFEU – Prohibition of abuse of a dominant position

Analysis

Under “Article 101 TFEU – Comprehensive ban on anti-competitive agreements” it is stated that collusion between companies, such as in undertakings, that distort the market and cause harm to consumers and businesses is prohibited. However, collusion that is beneficial or has little impact towards the economy as a whole may be dismissed and not regarded as infringements (Scheinert, 2023).

As of Scheinert’s (2023) description of “Article 102 TFEU – Prohibition of abuse of a dominant position”, a dominant position is described as being ‘a position of economic strength’ that causes the prevention of competition through the use of undertaking, such as cartels. This simply means that group of companies take full power of a market and do not allow other competitors or its customers to have any control.

Research done by Polley and Kuhn (2012), that has been further expanded on by Jurić (2022) has led me to be conclude that, in this scenario, the exchange of confidential information between the six companies is the first breach of “Article 101 TFEU”. The exchange of confidential information can only be dismissed if it is being used within the process of a merger, and this meeting was not held to conclude a merger. Through the research done by previously stated authors, it is evident that the exchange of confidential information can cause immense harm to consumers and the market. This is due to the fact that pricing strategies and strategies to implement barriers to entry can possibly be shared, causing all parties involved to react to the information received in a specific manner. In the case of this scenario, we see that subsequently after the meeting all six companies proceeded to increase their prices. With these six firms being the largest within the market are not afraid of losing market share as no other firm may be able to meet the same demands.

The second aspect of this scenario that must be investigated is that of the simultaneous increase of prices by all firms involved. Considerations can be made for this aspect, as many reasons could have caused an increase in price, may this be agreements to increase quality, safety, sustainability, or long-term efficiency (Dolmans, 2021). While the validity of the increase in prices is subject to independent investigation, it is hard to dismiss the facts that the companies have already infringed upon “Article 101”. This first infringement may have indirectly led to the price increases, or this may have been a pre-planned greed for power and money. Through a study of algorithmic parallel pricing, conducted by Ong (2021), I discovered a grey area that exists in the current “Article 101” which states that while collusive arrangements are prohibited, autonomous acts by individual economic operators for market players is not prohibited. There was also a key indication that when higher prices are set by these operators, there is not a correlation with market or consumer suffering. According to Ong (2021), this rise in price could solely be used to maintain an aura of superior quality and demand over competitors.

Although a sense of hope may be given towards the second aspect of the scenario, I believe that when considered alongside the third aspect, preventing distributors purchasing the product at a lower price, a breach of “Article 102 TFEU” is evident. According to Scheinert (2023), charging excessive prices and, tying and bundling are two key aspects to consider when a breach of “Article 102” is considered. I am of the belief that the six firms acted uneconomically, as they attempted to essentially cut off distributors from cheaper sources after their increase in price. While these sources would cause money to leave the countries economy, the capital would have remained within the EU, essentially increasing money fluctuation within the EU, and potentially improving economies.

“Article 101” must also be considered for the third aspect due to the previous area of intra EU trading being covered. The distortion to the market was caused by the six firms, through the attempted introduction of a fiscal barrier within the EU (Varga, 2021). This caused harm to distributors, customers, and competitors due to the inability to source the produce elsewhere for cheaper. This essentially would cause the diminishment of any other competition within the market.

Solutions

I believe that immediate action is required to be taken in the case of the six firms that have breached “Articles 101” and “Article 102” in EU Competition Law.

Firstly, compensation should be paid to businesses and customers that suffered at the hands of the six-firm cartel. Although it is hard to prove the value of losses incurred, and that according to Delgado (2021) further development by the EU must be done in this field to ensure that firms feel that obeying the policies put in place is the best course of action.

As stated by Scheinert (2023), between 2009 and 2013, €9.5 billion in fines were issued by the Commission to cartels that were discovered to be infringing on the EU Competition Law. These fines being at such a high figure are due to the EU identifying the need to penalise culprits and also discourage others from doing the same. I believe that due to the emphasis placed on discouragement of cartels by the EU, that a hefty fine must be issued to each firm involved.

Conclusion

In conclusion, I believe that the six firms in question have breached EU Competition Law by exchanging confidential information, simultaneously increasing prices, and preventing distributors from purchasing produce from other EU member states.

Although I have suggested punishments that could be imposed on these firms, I believe that much more information is needed to get a clearer understanding of the scenario. Information such as the market that they are part of, the product that had their price increased, country of origin, and what information was exchanged is needed to ensure that a fully transparent and sufficient investigation is done.

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